COMPANY DEEP-DIVE

Head of Digital Architecture at IKEA Sees Promise in Magentic for Supply Chain Automation but Highlights Scalability Concerns

DATE PUBLISHED	INTERVIEW DATE	EXPERT PERSPECTIVE	ANALYST PERSPECTIVE	PRIMARY COMPANY
10 May 2026	09 Feb 2026	Customer	Investor-Led (Buy-Side)	MAGENTIC

SMART SUMMARY

Summary

The interview covers the deployment and impact of Magentic, an AI-driven orchestration tool for procurement, within a large multinational retailer's supply chain. Discussion includes workflow automation, ROI, integration, adoption, vendor selection, and areas for future product development.

EXPERT BACKGROUND

- Global head of digital architecture for supply chain at a large multinational retailer, responsible for platform selection, RFP processes, implementation, and designing future-fit data and technology architecture for supply chain operations, including AI and tech stack for autonomous supply chain.

EXPERT SENTIMENT

- The expert finds Magentic promising, particularly for its orchestration and agentic AI capabilities, but emphasizes that its value depends heavily on the organization's internal process maturity and data quality.
- The expert believes Magentic should evolve beyond procurement automation to become a broader enterprise execution layer, but does not see it becoming a system of record.
- The expert is positive about the vendor's engagement and technical understanding but notes concerns about Magentic's ability to scale and the need for strong internal product ownership.

TAKEAWAYS

- Magentic is used as an orchestration and agentic AI layer primarily for procurement, automating workflows such as purchase requisition validation, supplier communication, and contract compliance across fragmented systems.
- The platform delivers ROI through productivity gains, cycle time reduction, and improved compliance, with estimated manual effort savings of 25%-40% and cycle time reductions of 20%-30%. Current savings are in the low seven digits, with expectations to increase.
- Adoption is currently at 45%-50% of global procurement volume, with plans for full adoption by the end of 2026.
- Magentic's integration flexibility and strong agent orchestration were key reasons for selection over competitors like Didero, ADA, and Zylon.
- Challenges include the need for mature internal processes, clear governance, and dedicated product ownership; the tool is not yet sticky and could be replaced within 7-8 months if needed.

AlphaSense Assistant is AI Generated

Table of Contents

Introduction and Expert's Role

Overview of Magentic's Functionality

Impactful Workflows and Operations

ROI and Adoption of Magentic

Pricing and Deployment Details

Feedback and Learning from Deployment

Integration and Other Software

Discovery and Future Expansion

System of Record and Challenges

Experience and Competitors

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Expert Bio

The expert is the Current Head of Digital Architecture - Supply Chain Development at IKEA Expert is a customer of Magentic Head of Digital Architecture - Supply Chain Development at IKEA. The expert is responsible for developing and overseeing the digital architecture strategy for the company's supply chain functions. Prior to IKEA, the expert was the Global Head of Digitalization Operations and Research and Development at Arxada, leaving in April, 2025. The expert was responsible for leading a $20 million digital transformation program for Research and Development, Quality, Environmental, Health, and Safety, Regulatory, and core operational functions. The expert has implemented and can speak to Ultraviolet-C dosimeters, having been part of the evaluation and adoption process for Intellego in 2024. The expert can discuss the selection criteria, including ease of use, reliability, and clear visual indicators, which led to choosing the solution over alternatives from other Ultraviolet-C monitoring vendors. Additional topics the expert can speak to include digital strategy, digital transformation, Information Technology architecture design for operations, and Laboratory Information Management System implementation.

Interview Transcript

Client 00:00:00
It's great to meet you. As you probably would have guessed, we're quite interested in a business called Magentic and we're told that you're a customer of theirs, is that correct?

Expert 00:00:10
That's correct, yes.

Client 00:00:13
Great. Maybe just to get us started, could you give a quick sense of what you do in the business and your role?

Expert 00:00:22
Yes. I'm the global head of digital architecture for supply chain at IKEA and supply chain is the largest business of IKEA. We are managing everything from supplier up to when we have distribution and warehouses. My role is to ensure that we are future fit and we have the right architecture in terms of data, but also in terms of technology.

Meaning, managing all the platform selection, valuation, RFP process, but also implementation, designing all the data platform architecture of the future, the solutions that we need to have in place, and also ensuring that we have the right AI and tech stack to be able to support our journey towards more autonomous supply chain.

Client 00:01:05
Okay. What does Magentic do for you? Just assume that we know very little about the product and it's the first time we're looking into it.

Expert 00:01:14
Yeah. Magentic, what it does for us, I would say that Magentic helps us as an agentic layer, I would say, primarily on our procurement side of the business.

Client 00:01:24
Just explain to me in simple terms, what does the product do, what kind of workflow it addresses?

Expert 00:01:31
Yeah. It helps us scale our procurement operations without scaling the headcount, helping us improve the compliance, the speed, and the consistency across a very large supplier base. We have different use cases, for example, we have AI agents that execute repeatable procurement workflows end to end. It acts on specific procurement tasks that they need to be able to happen.

Some things that they need to be created, some things that they need to be chased, some things that they need to be validated and updated. It operates asynchronously across systems and suppliers and it integrates with different procurements landscape that we have. We have a quite fragmented procurement landscape. We have ERP system, we have a supplier portal, we have EDI integrations, we have email exchange, we have contracts.

It sits on top of all the existing systems and try to orchestrate the different actions across the different tools and all that, of course, making

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sure that we keep the humans in the loop. Of course the human, they need to be able to intervene when they need to happen. They have to make some decisions.

Client 00:02:41
Okay. Where within the procurement value chain does Magentic come in today, from beginning to the end?

Expert 00:02:48
When we have a purchase requisition, when we are creating purchase orders, it can validate the requisitions against the contracts and the policies in the supply communication. How we send purchase orders to our suppliers, how we can change the confirmations, collect the responses from the different portals that we might have, let's say.

It can generate in the same time and release purchase orders when it has to happen. It can compare purchase orders, the prices versus the contracts that we have and can flag deviations when they need to happen, manage exception handling if it needs to happen. Primarily, it's on the procure-to-pay, I would say, process.

Client 00:03:27
Could you maybe tell me specifically, what are the most impactful workflows that Magentic has today, in as much detail as you can?

Expert 00:03:36
For us or in general?

Client 00:03:38
For you.

Expert 00:03:41
I would say the most impactful workflows the Magentic has right now for us, I would say they are primarily focusing on PR to PO execution with agent allocation. It can interpret purchase requisitions, it can validate them against the contract price thresholds and the lead times, it can select approved suppliers, it can draft or release the POs and also it can escalate on the non-compliant cases.

Second thing is about the autonomous supplier communication follow ups. It can send the POs automatically, it can change the confirmations, it can pass the supplier replies, it can detect changes, it can update the systems or escalate the exception detection and the resolution orchestration. It can detect late confirmations, mismatches, or delays. It can assess business impact, propose or execute corrective actions, and also it can escalate only when thresholds are exceeded.

There's another workflow around the contract enterprise compliance enforcement, how it can compare purchase order terms versus the contracts and can flag the price or the condition deviations that might occur. We have the closed system procurement orchestration. As I've mentioned before, it acts as a coordination layer across the different systems that we have and it can manage the handoff and the dependencies between the different systems. I would say primarily, these are the main.

Client 00:05:08
Okay. Effectively, it sits in a post-order part of the life cycle. You've already made the purchase and then it tracks that the terms and delivery are against the contract, escalates if there's any issues, and communicates with suppliers to resolve them. Would that be a fair description?

Expert 00:05:26
Yeah. Also orchestrate between the different systems as you have a fragmented landscape, which we have.

Client 00:05:33
Okay. What is the ROI of Magentic for you?

Expert 00:05:40
I would say that there are some qualitative and also some quantitative attributes. Specifically, I would say it delivers the ROI through productivity, through cycle time reduction and also compliance improvement, which is important for us. I would say that the largest ROI lever is the buyer and the planner productivity.

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When we can automate the purchase order execution or the supplier follow ups and the confirmations that they're taking quite a lot of time and also when we have to handle these triage and also the resolutions they need to have. In some cases, we have identified that we can potentially save 25%-40% in manual buyer effort from that activity alone, which is quite a lot because our buyers and planners spending quite a lot of time in these type of activities.

On the cycle time reduction, the value can come primarily from the faster purchase order release, the faster supply confirmations and the faster exception resolution. From purchase request to purchase order, we believe that we can have a reduction of 20%-30% of the cycle time. That means that we can have about one to three days faster confirmations on average. That can help us quite a lot, let's say, have better service levels, which is a very important thing for us and also lower our expediting cost.

On the third element, which is more on the contract and the price compliance improvement. We can drive quite a lot of value from all these automated checks versus the contracts that usually we couldn't do or they had to happen manually. We can reduce, I would say, procurement leakage or defects by 1%, which although doesn't sound a big number, but it can translate in quite a lot of annual savings.

Client 00:07:24

Got it. Are there any actual cost savings from being able to see, track any volume discounts or track any overpayments? Is there any direct impact there?

Expert 00:07:35

Yes, of course. Overall, you have better visibility, I would say. We would say that maybe a large share of our procurement spend is governed by Tier two volume discounts. I would say that 10%-30% of those discounts are typically missed or only partially captured due to our fragmented ordering, poor visibility that we have as well. That's why I was saying that we can have quite a lot of procurement leakage.

We have a lot of orders that they are fragmented across different sites, across different buyers, so that can help us quite a lot. Magentic can help us track volumes versus the different contractors that we have. It can help forecast the probability of reaching the next discount. It can flag assets hold situations. It can help quite a lot on driving cost savings from that perspective.

Client 00:08:30

Okay. Can you just quantify to me in a number, how much is Magentic saving for you today?

Expert 00:08:39

We have deployed it quite recently. Still, we need to be able to see the big picture. I would say that we are expecting to be able to save. I would say we are at the moment at low seven digits until we are expecting that to increase. Being able to reach, let's say a double digit in the future.

Client 00:08:59

In savings?

Expert 00:09:01

Yes.

Client 00:09:02

Is there any employee cost savings? Maybe some reduction in number of FTEs that you need for procurement.

Expert 00:09:11

At the moment, not. Also we are talking about IKEA. We are quite sensitive on these type of topics of reducing employees. It could potentially happen, but it's a little bit more complicated. Yes, potentially you can reduce amount of FTEs. They're doing that manually right now.

Client 00:09:32

Yeah. What percentage of procurement goes from Magentic today for you?

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Expert 00:09:37
I would say right now the adoption is at about 45%-50%. We are planning to go into full adoption by the end of 2026.

Client 00:09:47
Half of the global IKEA procurement goes through Magentic today?

Expert 00:09:52
Yes.

Client 00:09:53
Interesting. That seems like a lot and obviously for such a big company like yours too, to deploy a small company. Is this usual or not?

Expert 00:10:04
What we wanted to see is that's why we are doing it at 40%. On some major workflows, we want to be able to see how it goes and if everything goes well, we can roll out. This is usually how we are trying things. Also this is a tool that is an orchestration tool that sits on top, it's trusted by a lot of other big players in the market. That's why we are trying it out.

Client 00:10:27
Who else do you know using it?

Expert 00:10:30
There are a lot of other big companies. I think Bosch is also using it, if I remember correctly, 3M and some others.

Client 00:10:39
Bosch and what was the other one that you mentioned?

Expert 00:10:42
I think 3M, the adhesives and chemicals company, if I recall.

Client 00:10:48
Okay. How does pricing work for Magentic? How much are you paying for them?

Expert 00:10:55
We are at about, I would say, low-to-mid six figure range at the moment. We have an enterprise license based on the consumption that we are using. The more workflows that you have, the more volume that you're running the platform, the price might increase.

Client 00:11:10
Is the pricing model purely consumption-based or is there any elements of value-based pricing where say, if they deliver X amount of savings, they take a cut of that?

Expert 00:11:21
No, it's just consumption-based.

Client 00:11:24
Cool. When did you deploy it?

Expert 00:11:27
We deployed it this last August.

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Client 00:11:30
What has been the feedback so far?

Expert 00:11:34
I would say that so far, it looks promising. Of course, there are potential areas for improvement, I would say, but so far, it looks promising.

Client 00:11:43
Cool. Is there any learning that's happening for Magentic? In the months that you've deployed them, do you see any improvement in how it works?

Expert 00:11:55
A big important thing for us, we have a very fragmented landscape. Being able, first of all, for us to have an orchestration layer on top of our existing systems, it's a really big benefit. That's the first thing, being able to coordinate across the different platforms. That's the first thing. The second thing, it's important to be able to demonstrate to our employees the use of AI and agentic AI.

There's also transformational change management aspect, like how they can trust an AI agent to run some of these processes. We are seeing an improvement in terms of timings in responses and communication with suppliers, which I think is quite positive. Now, how does that translate into better service levels in the stores or in the stocking or in the buffers? Still, we need to be able to see the benefits there. We haven't seen it yet, to be completely transparent.

Client 00:12:52
Okay. You mentioned that Magentic is an orchestration layer. What kind of systems does it integrate with?

Expert 00:13:01
It can integrate with SAP, it can integrate with your supply chain management platform, it can integrate with your supplier portals, either this is an EDI or APIs that you have, it can integrate with your email communications if you give it access to. What else? Your logistics and fulfillment platform as well. Of course, the procurement platform as well.

Client 00:13:23
Okay. Do you use any other similar software vendors like Pactum or any other AI platforms around procurement?

Expert 00:13:31
Yeah, using AI platforms for robotic process automation, for example, we're using the UiPath, but this is a quite robotic process automation software. It's not an AI agentic procurement-driven software, but we don't use something else except for that.

Client 00:13:48
Cool. How did you discover Magentic?

Expert 00:13:52
We have collaborations with a lot of consultancy firms, I would say. We have strategic partnerships with them. We are always in discussion about new tools, about new players, that they're coming in the market and they could be potentially use for us. Also on the other side, we have Gartner and the Gartner Magic Quadrants. Also, they are advising us in a lot of topics. I would say, primarily it was from consultants, but we start hearing quite a lot about this company.

Client 00:14:23
Okay. Where do you see them going longer term? Today, I understand that they just do the post-procurement part of the value chain. What are the next logical areas for them to expand into?

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Expert 00:14:38

I think it's not a procurement platform. That's the first thing that we need to understand. It cannot run procurement for you. It's just a layer that sits on top. By saying that, I feel that they should not just stay a procurement tool or just a procurement automation tool. They should become more an enterprise execution layer. They need to be able to focus more on horizontal AI execution layer and that means sitting above planning, supply chain planning.

Also, they can start from the procurement, but they can expand across the entire supply chain. Being able to orchestrate across the procurement, supply, the finance, and the operations, I think that would be quite powerful because they have a strong starting base. They will be able to manage the entire enterprise and this is where you can really turn the decisions into proper actions.

The second thing is that their agents, at the moment, they are more assisting agents. They can recommend the execute, I would say, specific tasks. Also they can escalate exceptions. We should be looking for agents that taking on outcomes. They need to be able to move more toward outcome-oriented agents. They need to be able to have agents that they can coordinate multiple processes and complex processes to achieve a certain goal.

Moving from AI assistants into AI agents into agentic AI. Also have the clear accountability without proper human oversight. I think these are the important things. Of course, the other element is the learning retention. It's about how the organization actually buys the system needs to be able to understand that kind of concept.

Not just be processes-driven that much, but being able to understand how the business works, how they can then let's say, supply their behavior patterns. How can reserve breast practices across different regions, across how we are doing things. Being able to remember how we are running actually our supply chain. I think this is important things. Of course other areas as well.

Client 00:16:46

Yeah. Do you see over time, Magentic becoming almost your system of record for supplier and procurement data?

Expert 00:16:55

I don't think so. I don't think that it should become the system of record. We have specific systems of record. We have our ERP system that we trust. I don't think this is the role that it should play. I think it should become the system of execution and the system of intelligence that sits on top of the systems of record.

Client 00:17:16

Over time, as effectively, Magentic will be recording that data and also monitoring, not just doing post-procurement, also negotiating with suppliers and actually executing contracts. Doesn't it make sense for the contracts to live in Magentic as well versus integrating with some other external system?

Expert 00:17:37

I think they can interpret. They can read the records, they can coordinate actions. The authoritative data, they need to be able to stay in the system of governance, which is your enterprise resource planning software. You cannot mix everything together. Potentially, it can become the system, but at least that's how I see it.

Client 00:17:58

Got it. Are there any other departments that interact with Magentic beyond procurement? I don't know, like engineers or designers who need to see how suppliers are doing.

Expert 00:18:11

In our organization, no. It could they potentially be other dependent departments that they should interact with Magentic or procurement like supply chain planning, it interacts with procurement. Wholesale finance interacts with procurement. Logistics interacts with procurement. All these functionalities, they interact with procurement either directly or indirectly, I would say. There are data that they are feeding between one function to the other function. That's why I think that it's important if Magentic expands, I would say, and trying to be able to orchestrate across different functions.

Client 00:18:51

Got it. What are the biggest issues with Magentic today? What needs fixing in your opinion?

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Expert 00:18:58

I think the value realization depends too much on the internal maturity. I feel that Magentic is quite powerful by itself, but it cannot hide the organizational weakness, if you have an organizational weakness. It actually can expose that quite a lot. That's a little bit on the understanding. A lot of times we are buying a software and we think we're just going to plug plate and then magic happens. It's not really like that.

Why do I say that? Magentic assumes that you have very clearly defined procurement processes. You have decent contract and master data quality, you have clear decision rights and escalation rules. If those are not clear, not well-defined, are not existing, then Magentic cannot do magic. It will work, but it will not deliver value to your organization. The ROI will be very low, it will not be flawless. You will have issues and then the adoption, it will be limited. I think that's one of the big issues.

I think another thing is that Magentic requires specific configuration of the agent logic. It needs specific agreement on how much autonomy is being allowed and it can force conversations about governance quite early. That can again slow some initial rollout that you have and some visible wins because you need to be able to set these up correctly.

Sometimes when we are buying an automation tool, we are expecting that we will have an ROI in the first, I would say, one month or in the first two months. It takes a little bit of time to have these ROI realization. Sometimes not all the stakeholders, they have the same passions, I would say.

The last thing which is quite important to mention is that it requires strong product ownership. It doesn't mean that "Oh, I got an agentic tool and then it works by itself." It needs a very clear product owner who's running the tool, needs a dedicated team that it can do the ongoing tuning of the agent behavior. Also, you need to have specific, you need to keep feedback loops with the buyers, with the planners to be able to incorporate all these learnings. It's a tool that you need to have to properly manage it.

Client 00:21:13

Got it. What has been your experience working with the team so far? Any feedback on founders, people you've interacted with?

Expert 00:21:23

I think the overall experience so far, I would say that this is quite positive. The engagement is quite good. They have good understanding of how procurement actually works, which is very, very important. Some people only understand how procurement is getting documented. They understand the mess that it can happen in supply chain organization, that you have data on one side, you have supplier data on the other side of supplier behaviors, you have exception handling.

It's very good that they can speak business, but they can speak also the technical side of the things, which is very good. They're quite responsive, they seem to be quite engaging. I understand that because we're quite a big client. I think on the other side, they need to be able to scale properly the company, I would say, because at the moment, we are interacting with the senior Magentic team directly, which is quite good. You will need to be able to see, as they're getting bigger and bigger, how are they going to properly manage their organization? It's quite good.

In certain cases, to be able to tailor things specifically for our needs, it requires quite a lot of effort. They understand procurement quite well, but every company is very different. It manages things in a different way, which is, again, good because we can work closely, but we need to be able to see how they incorporate the feedback on the next releases. As I said, the knowledge at the moment, it's with the people that they have. We need to be able to see how these will scale over a long time of period.

Client 00:23:01

Okay. Have you come across any competitors when you're doing the RFP or POC with them?

Expert 00:23:07

Yes. We looked also a couple of competitors, like I said, also about Didero, ADA, and Zylon, which they are on that space as well.

Client 00:23:18

Okay. Why did you choose Magentic?

Expert 00:23:23

We felt that it has the best fit to our needs. The other ones, they were lacking in certain areas, I would say.

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Client 00:23:32

Got it. Could you just expand maybe, was it the AI performance that Magentic was spiking on integration seem like? What was better about them?

Expert 00:23:42

I think the nice thing of Magentic is about the very strong, I would say, agent orchestration and the reasoning capabilities that they have and that it can be quite flexible across multiple use cases. That's a very important thing. Also how it integrates with the complex enterprise system landscape that we are currently working on. That's an important thing for us.

Client 00:24:05

How difficult would it be to replace Magentic with a different product today? What is the stickiness of it?

Expert 00:24:13

Where we are right now at the beginning of the adoption, I would say that there is not specific stickiness. It's a very good tool. We know that the market is changing dynamically. I don't know what is going to happen in one year, two years, or three years from now. We hope that Magentic will grow, they will stick in the product roadmap and they will be able to support our long-term needs. Of course, we see new vendors popping up all day, all the time.

Client 00:24:41

Yeah. Say it pops up tomorrow, how many months and how much effort would it take to replace Magentic?

Expert 00:24:48

Where we are right now, probably it will take, I don't know, seven, eight months maybe. It's primarily project management topic. The resources, they need to come for that. You need to run it properly. Removing the technology and the integrations, yes, it can take some time, but they're not fully rolled out as I said. It's not the most difficult job.

Client 00:25:12

Okay. Have you recommended Magentic to any of your colleagues at other companies?

Expert 00:25:18

No.

Client 00:25:19

Cool. Thanks a lot for your time and insight. Have a great rest of your day.

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